

STONEWATER GROUP

Business Overview

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Table of Contents

1. The Opportunity.....	3
2. About Us	4
3. Who We Serve	5
4. How We Work.....	7
5. Investment Operating System	8
6. Deliverables	11
7. Pricing	16
8. Competitive Landscape	17
9. Go-to-Market Strategy	18
10. Operations	20
11. Goals & Strategic Direction	22

1. The Opportunity

Most commercial real estate sponsors operate in a similar fashion. Deal flow initiates the decision-making process: a site surfaces, underwriting begins, and capital follows. Capital allocation is driven more by what becomes available than by a defined view of where and how to invest.

The result is a process that never compounds. Assumptions vary by deal and by analyst. Decisions are made without a common framework. Over time, the portfolio reflects opportunity and timing more than deliberate strategy — and the organization doesn't get systematically better at making decisions.

The most intentional operators take a different approach. They establish a thesis before evaluating deals — a deliberate view on where to deploy capital, why, and under what conditions. Opportunities are measured against that thesis rather than evaluated in isolation. Each deal sharpens the process rather than restarting it.

Stonewater Group provides the frameworks, analysis, and tools that allow sponsors to make that shift — from deal-driven to thesis-driven. Our services standardize how markets are selected, how opportunities are evaluated, and how capital is allocated, replacing ad hoc decision-making with a repeatable process that improves over time.

For sponsors, the practical benefits of operating this way are direct: stronger capital relationships built on a credible and legible investment process, better risk-adjusted decisions through consistent underwriting and market selection, and a platform that scales without decision quality degrading. Thesis-driven sponsors don't just win more deals — they win better ones, and they build the kind of track record that attracts institutional capital over time.

That shift — from deal-driven to thesis-driven — is what Stonewater Group is built to support.

2. About Us

Stonewater Group is a real estate advisory firm. We work with multifamily and mixed-use development sponsors across the United States, providing the decision-making infrastructure that allows them to evaluate markets, underwrite opportunities, and manage capital with institutional-grade discipline.

Our work is delivered through consulting and advisory engagements. We do not take equity positions, manage assets directly, or act as a principal in transactions. Our role is to provide the frameworks, analysis, and structured deliverables that clients need to make better decisions — and to build the internal processes that make those decisions repeatable.

We focus exclusively on ground-up multifamily development. This focus is intentional. It allows us to go deep on the specific analytical and strategic challenges that development sponsors face, and to build a knowledge base that compounds across clients and markets over time.

At any given time, Stonewater concentrates its market coverage on a defined set of geographies. This allows our research, relationships, and market intelligence to compound in specific places rather than being spread thin across too many markets simultaneously. Coverage will expand as the firm grows.

3. How We Work

Stonewater's services are organized in five-phases — forming a connected framework that mirrors how thesis-driven sponsors evaluate, approve, and manage development opportunities from market selection through exit.

Clients can engage Stonewater in two ways:

Individual Deliverables

Clients can engage Stonewater for a specific analysis or advisory need — underwriting a deal, evaluating a market, or preparing investment committee materials. Each deliverable is scoped, priced, and delivered independently.

Investment Operating System

Clients can engage Stonewater across multiple phases, allowing each deliverable to build on the prior one. This approach mirrors how institutional firms allocate capital, approve deals, and manage assets over time. It produces the greatest value because decisions made within a connected framework are more consistent and comparable across deals.

Most client relationships begin with a single, discrete deliverable — a market study, a deal screen, or an underwriting model — scoped to address a specific and immediate need. Over time, as additional phases are completed, these individual engagements compound into a fully integrated Investment Operating System.

Engagement Process

Every engagement follows a consistent process regardless of scope:

Discovery — Stonewater initiates each engagement with a structured discovery conversation to understand the client's current pipeline, operational priorities, and where their existing process has gaps. This conversation defines the scope, timeline, and deliverable format before any work begins.

Delivery — All deliverables are completed within a defined timeline and delivered in a structured, professional format. Upon delivery, Stonewater conducts a dedicated review session with the client to walk through findings, address questions, and document decisions made as a result of the analysis.

Next Steps — The review session is used to identify what the logical next engagement is based on where the client is in their pipeline and what the completed deliverable surfaced. Expansion into additional phases happens organically as the client's needs evolve.

4. Who We Serve

Stonewater Group serves three categories of clients in the ground-up multifamily space: developers, investors, and lenders.

Developers

Developers are Stonewater's primary client. This includes any sponsor actively involved in the ground-up development of multifamily or mixed-use assets, from emerging operators executing early institutional deals to established regional firms managing active pipelines across multiple markets.

Investors

The investor client base includes capital providers participating in ground-up multifamily development through equity, preferred equity, or joint venture structures — family offices, private equity firms, real estate funds, and high-net-worth individuals investing alongside or behind operating sponsors.

Lenders

The lender client base includes financial institutions and private credit providers extending construction financing to multifamily development sponsors — regional and community banks, private debt funds, bridge lenders, and specialty lenders.

5. Investment Operating System

The Investment Operating System (IOS) is Stonewater's core framework. It is organized into five phases, each building on the prior one. Together, they constitute a repeatable decision system that spans the full development lifecycle.

Phase I — Thesis Formation

Capital allocation begins before a single deal is evaluated. Phase I establishes a market strategy framework that defines where to deploy capital and why — prioritizing metros and submarkets using standardized scoring methodologies built around demographic trends, supply dynamics, rent growth, affordability, and cycle positioning.

Outcome: Sponsors enter markets with a documented, defensible rationale — reducing exposure to poorly timed or structurally weak market entries.

Phase II — Deal Sourcing

Before advancing any deal to full underwriting, each opportunity is tested against a standardized screening framework — minimum return thresholds, basis assumptions, risk flags, and feasibility benchmarks. Only deals that clear this bar move forward.

Outcome: Internal resources are concentrated on opportunities with genuine return potential, and weak deals are identified early before significant time or capital is committed.

Phase III — Underwriting & Feasibility

Phase III is the analytical core of the IOS. Site-specific market analysis and institutional-grade financial modeling are conducted under standardized assumptions for rents, costs, absorption, and exit conditions. Every deal concludes with a structured risk assessment and a clear recommendation — approve, approve with conditions, or decline.

Outcome: Decision-makers have a complete, consistent picture of each deal's risk and return profile — giving them the confidence to commit capital or the clarity to walk away.

Phase IV — Capital Raising & Packaging

With underwriting complete and a deal approved, Phase IV translates the investment thesis into materials that can withstand external scrutiny. Deliverables are structured to support conversations with construction lenders, equity partners, and institutional capital providers.

Outcome: Sponsors enter capital conversations with professionally packaged, analytically supported materials — improving credibility with lenders and equity partners and reducing friction in the financing process.

Phase V — Asset Management

As real performance data replaces projections, Stonewater provides ongoing oversight of asset performance, capital structure, and liquidity positioning — continuously benchmarking results against original underwriting assumptions. Lessons learned feed back into future market selection and underwriting processes.

Outcome: Underperformance is identified early, capital obligations are actively monitored, and the platform's decision-making improves with each completed deal.

Value of Integrated, Thesis-Driven System

Proprietary Intelligence — Over time, the IOS builds a documented body of market intelligence, underwriting history, and performance data specific to the sponsor's platform — institutional knowledge that is difficult to replicate and becomes a durable competitive advantage.

Credibility — When lenders or equity partners question an assumption, the answer is a formal analysis that predates the deal — not a defense constructed to support it.

Accelerated Deal Evaluation — With market selection criteria, screening thresholds, and underwriting assumptions established in advance, each new opportunity is evaluated against a standing framework rather than assembled from scratch.

Standardized Analysis — Consistent assumptions across deals allow sponsors to compare return profiles, risk assessments, and market conclusions on the same terms across every opportunity in the pipeline.

Compounding Feedback Loop — Actual performance benchmarked against original projections reveals where assumptions are systematically off, and those corrections are applied to future underwriting before capital is committed.

6. Deliverables

The following deliverables constitute Stonewater's full service offering, organized by phase. Each can be engaged independently or as part of a full IOS engagement.

Phase I — Thesis Formation

1. National Market Strategy & Selection

What It Is	A data-driven framework for prioritizing U.S. markets based on demographic trends, supply dynamics, rent growth, affordability, and cycle positioning.
When to Use	Before expanding into new geographies. When refining capital allocation strategy. When deal flow feels reactive rather than intentional.
Contents	Market scoring and weighting framework. Demographic growth, employment, and affordability evaluation. Supply and pipeline risk assessment. Rent growth and demand sustainability analysis. Cycle positioning lens. Ranked market outputs with supporting rationale.

Client Outcomes Clear, defensible market prioritization. Reduced risk of entering overheated or structurally weak markets. A repeatable framework that guides future market decisions. Stronger alignment between strategy and deal flow.

2. Submarket Strategy & Selection

What It Is A focused analysis identifying the most compelling submarkets and micro-locations within a prioritized metro, accounting for supply concentration, renter demand, and competitive positioning.

When to Use After selecting a target metro. Before site sourcing or LOI execution. When comparing multiple submarkets.

Contents Submarket scoring and ranking framework. Supply pipeline and absorption analysis. Rent growth and affordability comparisons. Competitive positioning and product gaps. Demand drivers tied to employment and household growth.

Client Outcomes Clear prioritization of where to focus site sourcing. Reduced risk of oversupply exposure. Improved site-level decision confidence. Alignment between market strategy and execution.

Phase II — Deal Sourcing

3. Opportunity Sourcing

What It Is An advisory engagement focused on identifying and evaluating development sites that align with institutional investment criteria.

When to Use When entering new markets or submarkets. When internal sourcing capacity is limited. To validate broker-sourced opportunities.

Contents Site identification and screening criteria. Zoning, entitlement, and density considerations. Preliminary basis and feasibility review. Competitive site positioning analysis. Coordination with brokers and local stakeholders.

Client Outcomes Higher-quality deal flow. Fewer misaligned site pursuits. Improved speed from sourcing to screening. Stronger alignment between strategy and opportunities.

4. Preliminary Deal Screen

What It Is A rapid, standardized screening analysis designed to determine whether a deal is worth advancing to full underwriting.

When to Use Early in the deal lifecycle. When evaluating multiple opportunities simultaneously. To avoid over-investing time in weak deals.

Contents High-level development budget and basis assessment. Indicative rents and absorption assumptions. Preliminary yield, IRR, and development spread estimates. Identification of key risk flags and feasibility constraints. Comparison against minimum IC thresholds.

Client Outcomes Faster go/no-go decisions. Protection of time and internal resources. Consistent early-stage screening across deals. Fewer surprises later in underwriting.

Phase III — Feasibility & Underwriting

5. Site Market Analysis

What It Is	A deep, site-level analysis that evaluates whether localized demand can support the proposed unit mix, rents, and absorption pace.
When to Use	After a site clears initial screening. Prior to full underwriting. When market risk is a key concern.
Contents	Local demographic and renter profile analysis. Competitive inventory and pipeline review. Rent positioning and achievable pricing. Absorption and lease-up assumptions. Demand depth and sustainability assessment.
Client Outcomes	Market assumptions grounded in real demand. Reduced lease-up and revenue risk. Clearer product and pricing strategy. Stronger underwriting confidence.

6. Underwriting & Feasibility Model

What It Is	A comprehensive, institutional-grade financial model that evaluates a project's risk-adjusted return profile under multiple scenarios.
When to Use	After a deal clears initial screening. Prior to capital commitments or LOI execution. When preparing for investment committee or lender review.
Contents	Detailed sources & uses and development budget. Market-supported rent, expense, and absorption assumptions. Financing structures (construction, perm, JV equity, promotes). Sensitivity analysis for rents, costs, timing, and exit caps. Downside and stress scenarios. Summary outputs (IRR, equity multiple, yield-on-cost). Investment Committee Screening Scorecard.
Client Outcomes	Clear understanding of true risk-return dynamics. Defensible assumptions aligned with institutional standards. Improved confidence in capital deployment decisions. A model that can be reused, updated, and referenced over time.

7. Investment Committee Memo

What It Is	A structured narrative that presents a development opportunity in a format suitable for institutional review.
When to Use	Prior to capital commitments. For partner or IC approvals. As internal decision documentation.
Contents	Executive summary and recommendation. Market and project overview. Key risks and mitigants. Return profile and sensitivities. Approval conditions (if applicable).
Client Outcomes	Clear decision documentation. Stronger internal alignment. Increased capital credibility. Improved approval efficiency.

Phase IV — Capital Raising & Packaging

8. Capital Partner & Lender Presentation

What It Is	A concise, visually structured presentation designed to support capital raising and financing conversations.
When to Use	When engaging lenders or equity partners. Following IC approval.
Contents	Project overview and positioning. Market highlights. Financial summary and returns. Capital structure and timeline. Risk and mitigation summary.
Client Outcomes	Clear, professional capital narrative. Improved financing conversations. Faster diligence cycles. Enhanced credibility with sophisticated capital.

9. Offering Memorandum

What It Is	A comprehensive marketing and disclosure document for capital raises or project offerings.
When to Use	For third-party equity raises. For institutional or family office capital.
Contents	Investment overview. Market and project details. Financial projections. Risk disclosures. Sponsorship background.
Client Outcomes	Clear investor communication. Reduced follow-up friction. Strong compliance posture. Institutional-grade presentation.

Phase V — Asset Management

10. Asset Performance Report

What It Is	Ongoing performance monitoring that compares actual results to underwriting assumptions.
When to Use	Post-close. Across active portfolios.
Contents	Portfolio performance dashboards. Rent roll and turnover analysis. Operating benchmarks vs. comps. Repositioning scenarios.
Client Outcomes	Early identification of performance issues. Data-driven operational decisions. Improved long-term returns.

11. Capital & Risk Management

What It Is	Active oversight of financing structures and capital obligations.
When to Use	During construction and stabilization. Ahead of refinancing or recap events.
Contents	Debt covenant tracking. Capital stack modeling. Waterfall analysis. Refinance and recap scenarios.
Client Outcomes	Reduced financing risk. Improved capital flexibility. Better lender and partner alignment.

12. Exit & Recapitalization Strategy

What It Is	Strategic planning around exits, recaps, and capital liquidity.
When to Use	As assets approach stabilization. In changing market conditions.
Contents	Hold/sell analysis. Exit timing scenarios. Market-driven valuation logic. IC-style summary memo.
Client Outcomes	Proactive liquidity planning. Improved exit timing. Stronger long-term capital outcomes.

7. Pricing

All engagements are project-based and fixed-fee. Pricing reflects the scope and complexity of each deliverable. Bundled IOS engagements spanning multiple phases are offered at a 15–20% discount to incentivize longer-term commitments.

Pricing is intentionally competitive as Stonewater builds its client base and establishes a track record of completed engagements. Rates will be reviewed periodically as volume and reputation grow.

Deliverable	Price Range	Delivery Timeline
1. National Market Strategy & Selection	\$3,500 – \$5,000	2–3 weeks
2. Submarket Strategy & Selection	\$2,500 – \$4,000	2–3 weeks
3. Opportunity Sourcing	\$1,500 – \$2,500	1–2 weeks
4. Preliminary Deal Screen	\$500 – \$1,000	3–5 business days
5. Site Market Analysis	\$3,500 – \$5,500	2–3 weeks
6. Underwriting & Feasibility Model	\$3,000 – \$5,000	2–3 weeks
7. Investment Committee Memo	\$2,000 – \$3,000	1–2 weeks
8. Capital Partner & Lender Presentation	\$2,000 – \$3,500	1–2 weeks
9. Offering Memorandum	\$4,000 – \$6,000	2–3 weeks
10. Asset Performance Report	Scoped per Client	Ongoing
11. Capital & Risk Management	Scoped per Client	Ongoing
12. Exit & Recapitalization Strategy	\$3,000 – \$5,000	1–2 weeks

8. Competitive Landscape

Sponsors seeking analytical and advisory support for ground-up multifamily development typically encounter four categories of providers.

Large national advisory firms — firms such as CBRE, Newmark, and Colliers offer broad capability across capital markets, brokerage, valuation, and advisory. Their advisory practices are primarily oriented around transactions — acquisition, disposition, and debt placement — rather than the development decision-making process. Engagements are typically structured for institutional clients with large, complex mandates.

Specialized research and feasibility firms — firms such as RCLCO, John Burns Research and Consulting, and MRC deliver market research, feasibility studies, and demand analysis. Their work is typically scoped to a single question — market feasibility for a specific site, demand analysis for a specific product type — rather than structured as an integrated framework across the full development lifecycle.

Independent consultants and freelancers — a fragmented category of practitioners offering underwriting, market analysis, and advisory support on a project-by-project basis. Engagements are flexible and accessible but are not typically supported by proprietary frameworks, standardized methodologies, or continuity across a client's deal pipeline.

Internal development staff — sponsors who build analytical capacity in-house through dedicated analysts or development associates. This model provides continuity but requires fixed overhead, and specialized functions rarely justify dedicated headcount at most platform sizes.

Stonewater operates in a distinct position within this landscape — focused exclusively on ground-up multifamily development, structured around the full investment lifecycle rather than individual transactions, and built to produce consistent, comparable outputs across a client's deal pipeline over time.

9. Operations

Team Structure & Responsibilities

The founding team brings institutional real estate experience across development, underwriting, capital markets, and asset management.

Ben Colella — Development Analyst

Jo Elumir — Operations Coordinator

Will Martorana — Principal

Alek Rugienius — Principal

Andrius Rugienius — Principal

Confidentiality note: Team members should refrain from publicly associating the Principals' names or profiles with Stonewater until notified otherwise. This applies to personal social media, LinkedIn, and any other public-facing channels.

Stonewater operates with a lean team structure in which each member has a defined role in the delivery process.

Andrius and Alek Rugienius serve as the primary client-facing principals, responsible for business development, client relationships, engagement scoping, and final deliverable approval. Will Martorana also serves as a client-facing principal for select engagements, leads the asset management practice, and contributes to deliverable review and approval across all phases.

Ben Colella is responsible for producing first drafts of all deliverables, conducting financial analysis, and supporting data gathering and research across active engagements. Alek leads all market study work with Ben's support.

Jo Elumir manages Stonewater's Upwork presence, handles administrative tasks, and supports internal operations including document management, scheduling, and workflow coordination.

Engagement Management

All client files and deliverables are stored and organized in OneDrive. Each engagement receives a dedicated folder structure upon kickoff. Ben is responsible for maintaining organized, current files throughout the engagement. Principals communicate internally via email. A standing operations meeting is held weekly to review active engagements, assign work, and address any delivery or client issues.

Quality Control

All deliverables are subject to principal review and approval before delivery to a client. Two tiers of review apply based on deliverable type.

Tier 1 — One principal approval: The Preliminary Deal Screen is the only Tier 1 deliverable. Given its nature as a rapid early-stage filter, two principals must review and approve before delivery. The relationship principal is always one of the two reviewers.

Tier 2 — Two principal approval (currently no deliverables)

Tier 3 — Three principal approval: All other deliverables require review and approval from all three principals — Andrius, Alek, and Will — before delivery. Given that all three principals are currently employed full-time, Tier 2 review cycles must be built into the engagement timeline from the start. A minimum of three business days should be reserved for principal review on all Tier 2 deliverables, and this window should be communicated to the client as part of the delivery timeline at engagement kickoff.

Ben is responsible for flagging when a deliverable is ready for principal review and for incorporating all principal feedback before final delivery. No deliverable leaves Stonewater without documented approval from the required principals.

Delivery Process

Upon completion and principal approval, all deliverables are delivered to the client in a structured, professional format via email. Delivery is followed by a scheduled review session — typically 60 minutes — in which a principal walks the client through findings, addresses questions, and identifies logical next steps. Ben may attend review sessions at principal discretion.

10. Go-to-Market Strategy

Stonewater's near-term client acquisition strategy is focused exclusively on multifamily developers. Investor and lender client development will be pursued once a developer client base is established.

Stonewater pursues new business through four channels operating in parallel.

Direct Outreach Stonewater conducts targeted outreach to decision-makers at multifamily development firms via LinkedIn and email. Outreach is focused on founders, principals, and senior development executives at firms actively pursuing ground-up development. The goal of each outreach sequence is to initiate a discovery conversation rather than pitch a specific deliverable.

Content Stonewater publishes a quarterly market report on its website. Each report is gated — available for download in exchange for contact information — and is supported by a distribution campaign across LinkedIn and X. Content is designed to demonstrate analytical capability, build brand credibility, and drive inbound traffic from sponsors actively researching markets Stonewater covers. The contact information collected through report downloads feeds directly into the outreach pipeline.

Referrals Stonewater maintains active relationships with existing personal connections and past clients, with a deliberate focus on generating introductions to development firms that fit the target client profile. Every completed engagement is treated as a referral opportunity — the review session at delivery is used to identify whether the client has peers or partners who could benefit from Stonewater's services.

Upwork Upwork serves as an early-stage lead generation and credibility-building channel. The objective is not to build a large Upwork client base but to accumulate verified reviews and completed engagements that validate Stonewater's capabilities to prospective clients outside the platform. Strong Upwork clients are transitioned to direct engagements over time.

Client Development The objective of each initial engagement is to demonstrate enough value to generate a second. Stonewater's engagement model — discrete, fixed-fee deliverables with a structured delivery and review process — is designed to reduce the friction of a first engagement and create a natural on-ramp to broader IOS relationships over time. A client who engages Stonewater for a single market study and receives a thorough, well-documented analysis is the most effective sales tool the firm has.

11. Goals & Strategic Direction

Long-Term Vision

Stonewater's advisory practice is designed to build toward something larger than a consulting business. Every client engagement, completed deliverable, and capital conversation is an opportunity to establish credibility and deepen relationships with the developers, investors, and lenders who will become Stonewater's future co-GP partners, LP relationships, and lending partners. The advisory business is the vehicle through which that network is built and that track record is established.

The long-term objective is to leverage Stonewater's advisory relationships and market expertise into active participation in multifamily development — as a co-GP, capital partner, or principal investor alongside the clients and partners the firm serves.

Year One Priorities

Year one is focused on establishing Stonewater as a credible, active advisory firm with a small but growing base of satisfied clients and a documented track record of completed engagements.

Targets:

- 8–12 completed paid engagements
- 3–5 active client relationships

- At least one repeat client who has engaged Stonewater across multiple deliverables
- At least one established lender relationship through a completed engagement
- Quarterly market report published and distributed at least twice

90-Day Priorities

- First paid external engagement completed and delivered
- First quarterly market report published and distributed
- Direct outreach sequences initiated with at least 20 target developer contacts
- At least two referral conversations initiated with existing personal connections or past clients

2-3 Year Vision

Within two to three years, Stonewater aims to operate as a recognized advisory firm in its target markets with a consistent pipeline of active engagements, a network of established developer, investor, and lender relationships, and the financial foundation and track record to begin participating in development transactions as a principal.